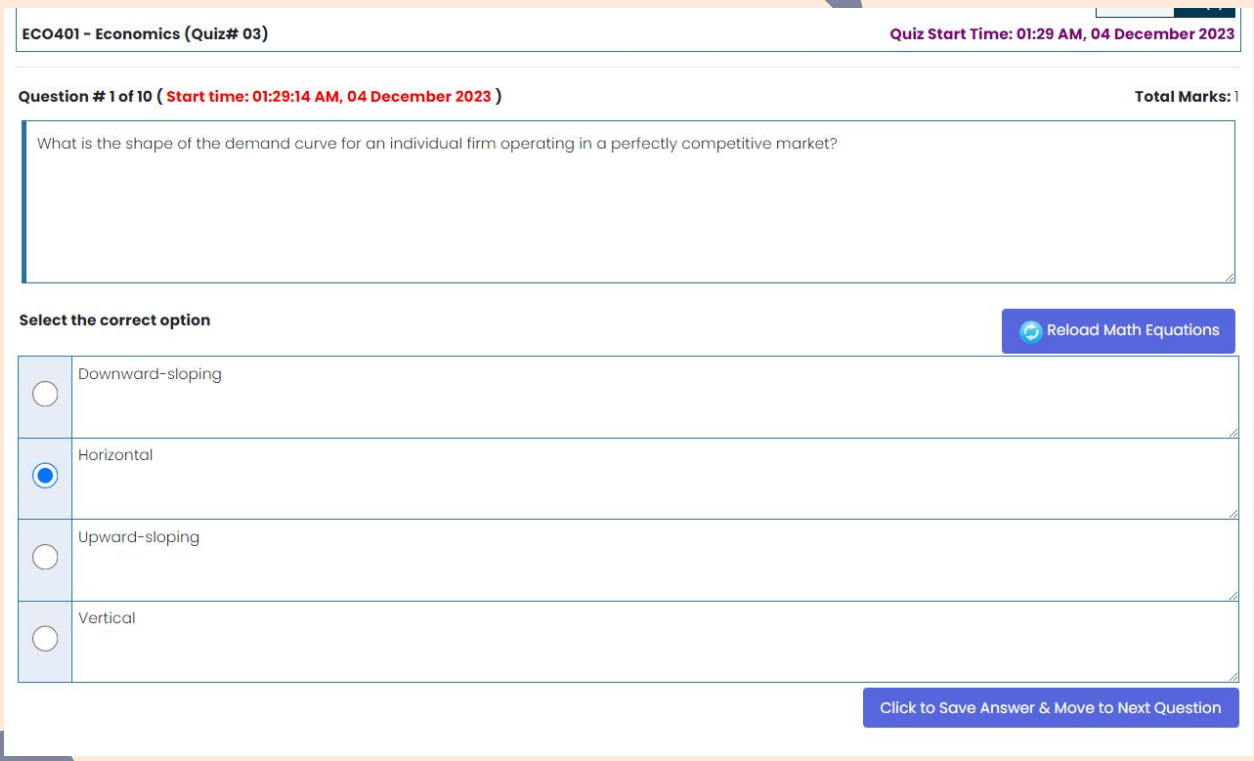
ECO 401

Quiz No.3

Solution by Sufyan JUTT

JUTT



SUTT

ECO401 - Economics (Quiz# 03) **Quiz Start Time: 01:29 AM, 04 December 2023**

Question # 2 of 10 (Start time: 01:29:53 AM, 04 December 2023) **Total Marks:** 1

Procter & Gamble Pakistan (Pvt) Ltd is producing 500 units of soap. To produce these units company bears Rs. 8000 for total fixed cost and Rs. 2000 for total variable cost. What will be the total cost in this case?

Select the correct option

- ○ Rs. 6000
- ○ Rs. 8000
- ○ Rs. 2000
- ◉ Rs. 10, 000

Click to Save Answer & Move to Next Question

ECO401 - Economics (Quiz# 03) **Quiz Start Time: 01:29 AM, 04 December 2023**

Question # 3 of 10 (Start time: 01:30:45 AM, 04 December 2023) **Total Marks:** 1

A firm maximizes profit by operating at the level of output where:

Select the correct option

- ◉ Marginal revenue equals marginal cost.
- ○ Average revenue equals average cost.
- ○ Average revenue equals average variable cost.
- ○ Total costs are minimized.

Click to Save Answer & Move to Next Question

ECO401 - Economics (Quiz# 03) Quiz Start Time: 01:29 AM, 04 December 2023

Question # 4 of 10 (Start time: 01:31:32 AM, 04 December 2023) Total Marks: 1

What does an isoquant represents that is far from the origin?

Select the correct option

Reload Math Equations

- (●) Higher output
- ( ) No output
- ( ) Un changed Output
- ( ) Lower Output

Click to Save Answer & Move to Next Question

ECO401 - Economics (Quiz# 03) Quiz Start Time: 01:29 AM, 04 December 2023

Question # 5 of 10 (Start time: 01:32:11 AM, 04 December 2023) Total Marks: 1

In case of diseconomies of scale, shape of long run average cost curve will be:

Select the correct option

- ( ) Vertical line
- (●) Upward sloping
- ( ) Downward sloping
- ( ) Straight line

Click to Save Answer & Move to Next Question

ECO401 - Economics (Quiz# 03) **Quiz Start Time: 01:29 AM, 04 December 2023**

Question # 6 of 10 (Start time: 01:32:49 AM, 04 December 2023) **Total Marks:** 1

The market structure in which the prices are set by the forces of demand and supply is termed as;

Select the correct option

Reload Math Equations

- (●) Perfect competition.
- ( ) Monopolistic competition.
- ( ) Oligopoly.
- ( ) Monopoly.

Click to Save Answer & Move to Next Question

ECO401 - Economics (Quiz# 03) **Quiz Start Time: 01:29 AM, 04 December 2023**

Question # 7 of 10 (Start time: 01:33:32 AM, 04 December 2023) **Total Marks:** 1

In case of constant returns to scale isoquants:

Select the correct option

- (●) Are equally spaced
- ( ) Become closer and closer to each other
- ( ) Become further and further apart from each other
- ( ) Undergoes no change

Click to Save Answer & Move to Next Question

ECO401 - Economics (Quiz# 03) Quiz Start Time: 01:29 AM, 04 December 2023

Question # 8 of 10 (Start time: 01:34:33 AM, 04 December 2023) Total Marks: 1

Suppose a firm produces 10 units of output and incurs Rs. 40 in average total cost and Rs. 5 in average fixed cost. Average variable cost of given firm will be::

Select the correct option

- (●) Rs. 35
- ( ) Rs. 25
- ( ) Rs. 50
- ( ) Rs. 30

Click to Save Answer & Move to Next Question

ECO401 - Economics (Quiz# 03) Quiz Start Time: 01:29 AM, 04 December 2023

Question # 9 of 10 (Start time: 01:35:37 AM, 04 December 2023) Total Marks: 1

"Each firm produces an identical product and there is freedom of entry and exit". This is TRUE for which of the following market structures?

Select the correct option

- (●) Perfect competition
- ( ) Monopolistic competition
- ( ) Oligopoly
- ( ) Monopoly

Click to Save Answer & Move to Next Question

ECO401 - Economics (Quiz# 03) Quiz Start Time: 01:29 AM, 04 December 2023

Question # 10 of 10 (Start time: 01:36:40 AM, 04 December 2023) **Total Marks:** 1

If marginal revenue function of a firm is MR = 18 – 2Q. What will be the slope of marginal revenue function?

Select the correct option

- ○ 18
- ○ 18Q
- ◉ -2
- ○ -2Q

Click to Save Answer & Move to Next Question

Sufyan